

Sample SAR Narrative – Structuring / Smurfing

SAR Reference: SAR-2026-001

Customer Name: ABC Traders Pvt Ltd

Account Number: XXXXXXXXX1234

Reporting Entity: XYZ Bank

Date of Detection: 05-Jul-2026

Narrative

During routine transaction monitoring, XYZ Bank identified unusual cash deposit activity in the account of ABC Traders Pvt Ltd.

Between 15-Jun-2026 and 30-Jun-2026, a total of 27 cash deposits amounting to INR 48,75,000 were made across multiple branch locations. Individual deposits ranged from INR 1,50,000 to INR 1,95,000 and were consistently kept below internal reporting thresholds.

The deposits were conducted by different individuals acting on behalf of the customer and were followed by immediate outward fund transfers to multiple unrelated third-party accounts.

Transaction analysis revealed:

- Multiple cash deposits on the same day across different branches.
- Repeated deposits just below reporting thresholds.
- Rapid movement of funds after deposit.
- Lack of supporting business justification.
- Activity inconsistent with the customer's historical transaction profile.

Based on the observed behavior, the activity appears consistent with a potential structuring (smurfing) typology commonly associated with money laundering attempts designed to avoid regulatory detection and reporting requirements.

The customer was previously classified as a medium-risk commercial customer. However, the recent transaction pattern indicates elevated money laundering risk requiring enhanced review.

The matter has been escalated to the AML Compliance Team for investigation and regulatory reporting consideration.

Suspicion Indicators

- Structuring of cash deposits
 - Threshold avoidance behavior
 - Multiple branch usage
 - Rapid movement of funds
 - Unusual transaction velocity
 - Inconsistent customer profile
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Recommended Action

- File Suspicious Transaction Report (STR/SAR)
 - Perform Enhanced Due Diligence (EDD)
 - Review source of funds documentation
 - Monitor ongoing account activity
 - Escalate to AML Compliance Officer
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Sources

- FATF Money Laundering Typologies
- RBI Master Direction – KYC/AML
- FIU-IND STR Reporting Guidelines
- Internal AML Monitoring Policy